



ICMAI

THE INSTITUTE OF COST ACCOUNTANTS OF INDIA

भारतीय लागत लेखाकार संस्थान

Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

INVENTORY VALUATION

UNDER INCOME TAX ACT

2025

Section 142(2A) · Income Tax Act, 1961

Behind every successful business decision, there is always a **CMA**



INTRODUCTION

On First February 2023 our Honourable Finance Minister Mrs Nirmala Sitharaman presented the Union Budget for the Financial Year 2023-2024. One among the important amendments proposed in the Union Budget under subsection 2A of section 142 of Income Tax Act 1961. The amendment is applicable with effect from 1st April 2023. This amendment provides boundless opportunity for CMA fraternity. As per section 142(2A) of Income Tax Act 1961, the section is segregated into two, **Special Audit** which is to be conducted by CA and **Valuation of Inventory by CMA**. Objective of this amendment is to enhance accuracy of valuation of inventory and prevent tax evasion through the proper assessment of income.

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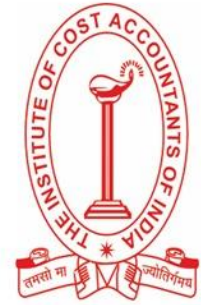
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SECTION MAPPING

INCOME TAX ACT 1961 vs 2025

Income Tax Act	1961	2025
Inventory Valuation	142(2A)	268(5)(ii)



RULE MAPPING

INCOME TAX ACT 1962 vs 2026

Income Tax Rules	1962	2026
Inventory Valuation	14A	171(2)



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VALUATION DONE BY

Statutory Definition — Cost Accountant:

“

“cost accountant” means a cost accountant as defined in section **2(1)(b)** of the **Cost and Works Accountants Act, 1959** and who holds a valid certificate of practice under section **6(1)** of the said Act.

01

Defined under
Sec. 2(1)(b) — Cost & Works Accountants Act, 1959

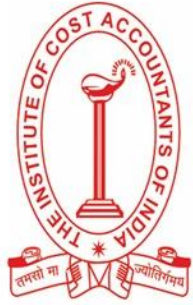
02

Requires valid
Certificate of Practice under Section 6(1)

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Applicability of Valuation of Inventory u/s 268(5) — Income Tax Act 2025



Applicability arises in regard to:

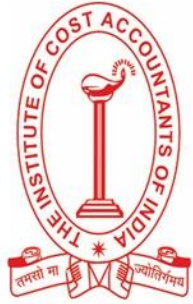
- 1 The nature and complexity of the accounts
- 2 Volume of the accounts
- 3 Doubts about the correctness of the accounts
- 4 Multiplicity of transactions in the accounts
- 5 Specialized nature of business activity of the assessee
- 6 Interests of the revenue

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EMPOWERMENT & APPROVALS

Act empowers the assessing officer to direct the assessee to get the inventory valued by a Cost Accountant in practice in prescribed form duly signed and verified by such Cost Accountant with prior approval of



Prior approval required from:

01 Principal Chief Commissioner

02 Chief Commissioner

03 Principal Commissioner

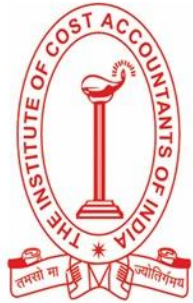
04 Commissioner

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NOMINATION

The accountant or the cost accountant shall be nominated By



Nominating authorities — in order of hierarchy:

01 | Principal Chief Commissioner

02 | Chief Commissioner

03 | Principal Commissioner

04 | Commissioner

Note: Nomination is made by the approving authority with prior sanction — ensuring independence and objectivity in inventory valuation.

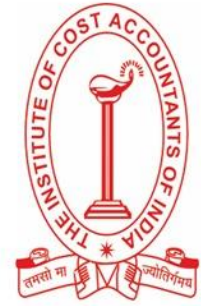
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INTERPLAY OF THE PROVISIONS

How the key provisions work together:

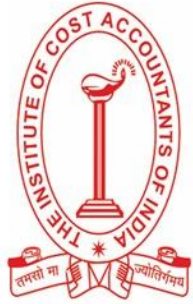
PROVISION	PURPOSE
Section 268(5)(ii)	AO's power for independent valuation
Section 277	Method of inventory valuation
Rule 171(2) & Form 101	Procedure and documentation
Form 26	Audit reporting and disclosure



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METHOD OF INVENTORY VALUATION

Section 277 — Income Tax Act 2025



Objective & Purpose

- 1 Valuation of inventory
- 2 Valuation of securities
- 3 Inclusion of taxes and duties
- 4 Determination of business income
- 5 To ensure accurate computation of taxable profits.

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GENERAL RULE FOR INVENTORY VALUATION

Section 277(1)(I) — Income Tax Act 2025



Inventory shall be valued at:

LOWER OF

A Actual Cost

OR

B Net Realisable Value (NRV)

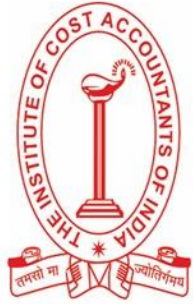
AS PER

C Income Computation and Disclosure Standards (ICDS)



INCLUSION OF TAXES AND DUTIES

Section 277(1)(II) — Income Tax Act 2025



Inventory valuation shall be adjusted to include:

INCLUDES

A ☒ Tax

B ☒ Duty

C ☒ Cess

D ☒ Fee

CONDITIONS

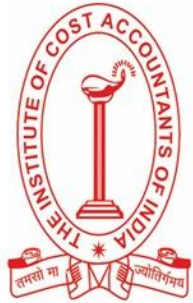
Amounts should be:

E ☒ Actually paid or incurred

F ☒ Related to bringing goods/services to their location and condition on valuation date

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ICDS II: VALUATION OF INVENTORIES

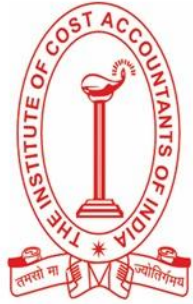
Income Computation and Disclosure Standards

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PREAMBLE

ICDS II — Valuation of Inventories



01



This Income Computation and Disclosure Standard is applicable for computation of income chargeable under the head “Profits and gains of Business or profession” or “Income from other sources” and not for the purpose of maintenance of books of accounts.

02



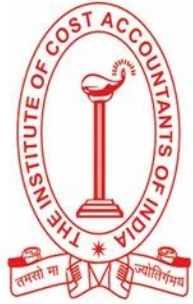
In the case of conflict between the provisions of Income Tax Act, 1961 (‘the Act’) and this Income Computation and Disclosure Standard, the provisions of the Act shall prevail to that extent”.

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SCOPE

ICDS II — Valuation of Inventories



! This Income Computation and Disclosure Standard shall be applied for valuation of inventories, except:

EXCEPTIONS

- 01** Work in Progress under Construction contracts.
- 02** Work in Progress under other Standards
- 03** Shares, Debentures and other financial instruments.

- 04** Live Stock, agriculture and forest produce, mineral oil, ores and natural gas.
- 05** Machinery spares used in connection with tangible fixed assets.

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SCOPE OF STANDARDAS 2 VS IND AS 2



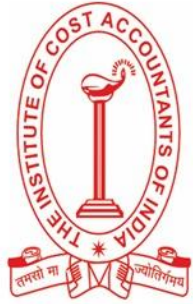
AS – 2

Inventories do not include spare parts, servicing equipment and standby equipment which meet the definition of ppe as per AS10



Ind AS – 2

1. It does not apply to commodity broker-traders who measure their inventories at fair value less costs to sell.
2. scopes out the biological assets related to agricultural activity and agricultural produce at the time of harvest
3. no mention of machinery spares



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DEFINITIONS

Inventories & Net Realisable Value

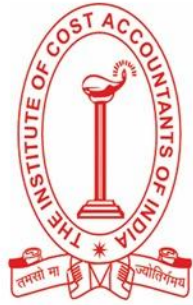
Inventories

: are Assets

- a Held for sale in the ordinary course of business.
- b In the process of production for such sale.
- c In the form of materials or supplies to be consumed in the production process or in the rendering of services.

Net Realisable Value

Estimated selling price in the ordinary course of business less the estimated cost of completion and the estimated costs necessary to make the sale.

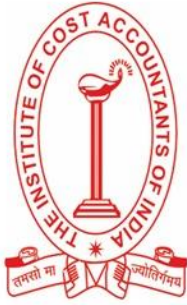


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MEASUREMENT



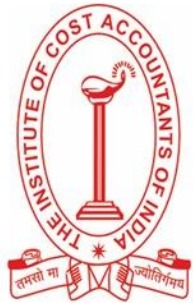
" Inventories shall be valued at cost, or net
realisable value, whichever is lower. "

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MEASUREMENT



" Inventories shall be valued at cost, or net realisable value, whichever is lower.
"



**All Costs
of Purchase**



**Cost of
Conversion**



**Cost of
Services**

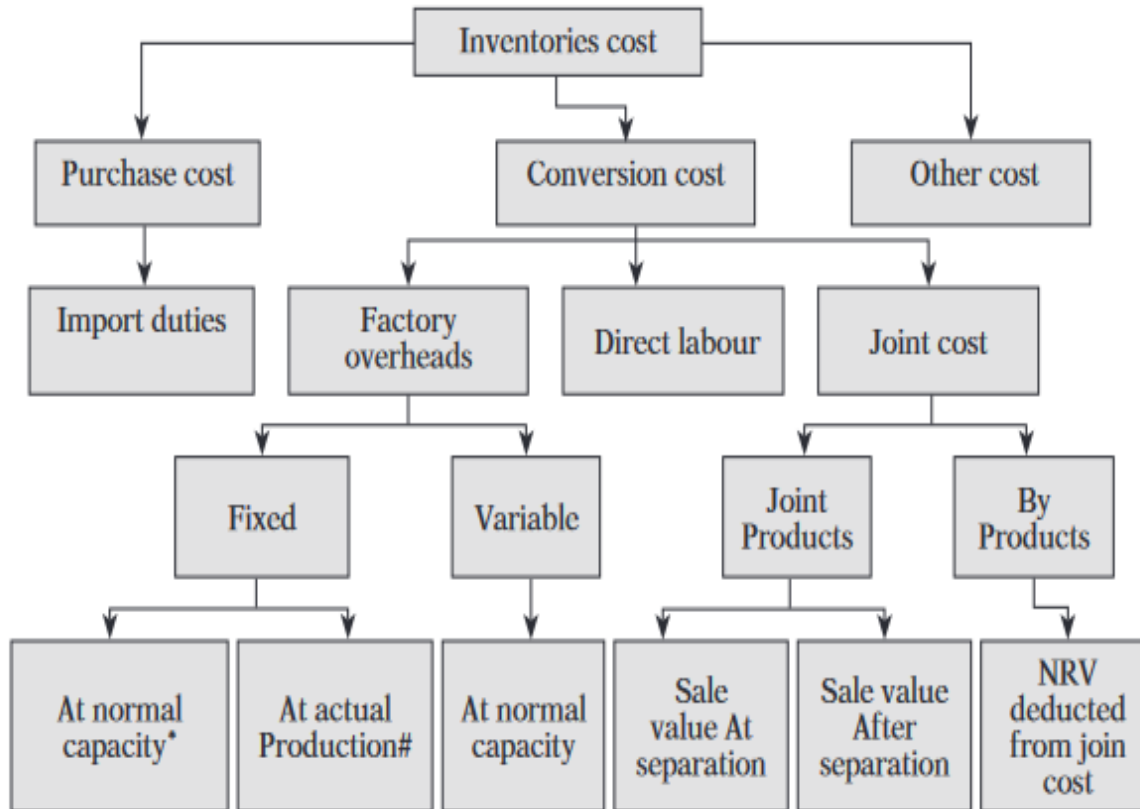


**Other Costs
incurred in bringing
the inventories to
their present
location & condition**

Cost of inventories includes all of the above components.

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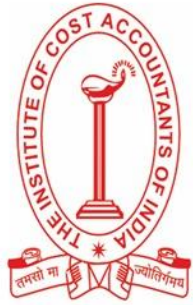


Purchase price include

Purchase price including
duties & taxes

Freight
inward

Other expenditure
directly related to
purchase



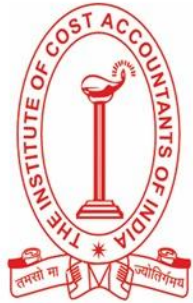
Purchase price exclude

Trade discount

Rebate and
other similar
items

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AS 2

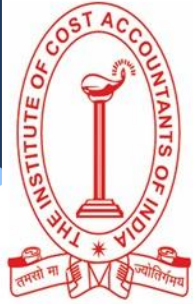
Purchase price including duties & taxes (other than those subsequently recoverable by the enterprise from the taxing authorities), freight inwards & other expenditure related to acquisition. Trade discount, rebate, duty drawbacks and other similar items are deducted in determining the cost purchase

Ind AS 2

Purchase price comprise of purchase price, import duties and other taxes (other than those subsequently recoverable by the entity from the taxing authorities) and transport, handling and other cost directly attributable to the acquisition of finished goods, materials and service. Trade discount, rebate, duty drawbacks and other similar items are deducted in determining the cost purchase



Inventory Valuation Methods



AS – EXCLUSIVE METHOD

IN BOOKS



ICDS – INCLUSIVE METHOD

FOR TAX COMPUTATION

MEMORANDUM STATEMENT SHOWING REVENUE NEUTRALITY WOULD SERVE IN CASE FOLLOWING EXCLUSIVE METHOD.

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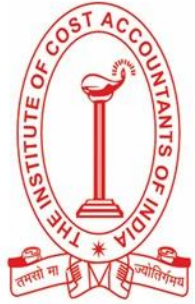
Details for the financial year 2018-19

Particulars	Qty	Amount	Tax rate	Tax	Amount including tax
Opening Stock-RM	100	10,000	5%	500	10,500
Purchases	900	90,000	5%	4,500	94,500
Conversion charges					
Wages		50,000	NA	-	50,000
Services availed		30,000	18%	5,400	35,400
Finished goods	800				
Sales	700	1,75,000	12%	21,000	1,96,000
Closing stock-FG	100	18,000		500	18,500
Closing stock-RM	200	20,000		1,000	21,000

Show the impact of 145A/ ICDS 2 adjustment.



Treatment in books



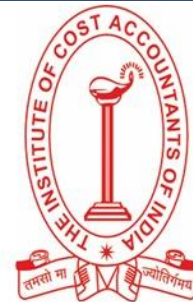
TRADING ACCOUNT FOR THE YEAR ENDED MARCH 31, 2019

Expenses	₹	Income	₹
Opening Stock	10,000	Sales	1,75,000
Purchases	90,000	Closing stock	
Wages	50,000	Finished goods	18,000
Direct expenses	30,000	Raw Materials	20,000
Gross Profit carried down	33,000		
TOTAL	2,13,000	TOTAL	2,13,000

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Treatment as per Inclusive method

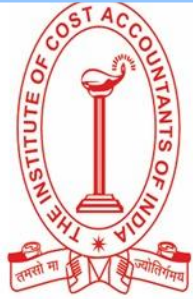


MEMORANDUM TRADING ACCOUNT (BASED ON 145A/ ICDS 2 ADJUSTMENTS)			
Expenses	₹	Income	₹
Opening Stock	10,500	Sales	1,96,000
Purchases	94,500	Closing stock	
Wages	50,000	Finished goods	18,500
Direct expenses (Note 1)	30,000	Raw Materials	21,000
Output tax paid (Note 2)	11,100		
Goods on direct expenses paid (Note 3)	5,400		
Gross Profit carried down	34,000		
TOTAL	2,35,500	TOTAL	2,35,500

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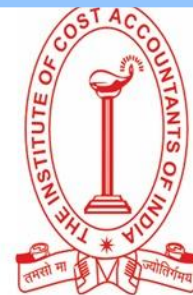
Reconciliation



Particulars	₹	₹
Profit as per books of account		33,000
Add: GST component in closing inventory	1,500	
Less: GST component in opening inventory	(500)	1,000
Adjusted profits as per ICDS 2		34,000

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ABC Ltd. buys goods from an overseas supplier. It has recently taken delivery of 1,000 units of component X. The quoted price of component X was ₹ 1,200 per unit but ABC Ltd. has negotiated a trade discount of 5% due to the size of the order.

The supplier offers an early settlement discount of 2% for payment within 30 days and ABC Ltd. intends to achieve this.

Import duties (basic custom duties) of ₹ 60 per unit must be paid before the goods are released through custom. Once the goods are released through customs, ABC Ltd. must pay a delivery cost of ₹ 5,000 to have the components taken to its warehouse.

Calculate the cost of inventory.

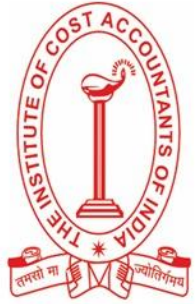
Solution

	₹
Purchase price (1,000 x 1,200 x 95%)	11,40,000
Import duties (1,000 x 60)	60,000
Delivery cost	<u>5,000</u>
Cost of inventory	<u>12,05,000</u>

Note: The intention to take settlement discount is irrelevant.



Cost of Conversion



1

(a) Costs directly related to the units of production

2

(b) Systematic allocation of fixed and variable production overheads that are incurred in converting materials into finished goods.

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OVERHEADS

Fixed Production Overheads

Indirect costs of production that remain relatively constant regardless of the volume of production.

Variable Production Overheads

Indirect costs of production that vary directly, or nearly directly, with the volume of production.

Fixed production overhead allocation shall be based on the normal capacity of the production facilities.

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Normal Capacity

Normal Capacity

Production expected to be achieved on average over a number of periods under normal circumstances, taking into account planned maintenance. The actual level of production shall be used when it approximates to normal capacity.

Unallocated overheads shall be recognised as an expense in the period in which they are incurred. In periods of abnormally high production, the amount of fixed production overheads allocated to each unit of production is decreased so that inventories are not measured above the cost. Variable production overheads shall be assigned to each unit of production on the basis of the actual use of the production facilities

The amount of fixed production overheads allocated to each unit of production shall not be increased as a consequence of low production or idle plant.

Note:

If actual production is less than normal capacity, fixed overheads should be absorbed on the basis of normal capacity. However, if actual production exceeds normal capacity, fixed overheads should be absorbed on the basis of actual production.



Pluto Ltd. has a plant with the normal capacity to produce 5,00,000 unit of a product per annum and the expected fixed overheads is ₹ 15,00,000. Fixed overheads on the basis of normal capacity is ₹ 3 per unit ($15,00,000/5,00,000$).

Case 1:

Actual production is 5,00,000 units. Fixed overhead on the basis of normal capacity and actual overheads will lead to same figure of ₹ 15,00,000. Therefore, it is advisable to include this on normal capacity.

Case 2:

Actual production is 3,75,000 units. Fixed overhead is not going to change with the change in output and will remain constant at ₹ 15,00,000, therefore, overheads on actual basis is ₹ 4 p/u ($15,00,000 / 3,75,000$).

Hence by valuing inventory at ₹ 4 each for fixed overheads purpose, it will be overvalued and the losses of ₹ 3,75,000 will also be included in closing inventory leading to a higher gross profit than actually earned.

Therefore, it is advisable to include fixed overheads per unit on normal capacity to actual production ($3,75,000 \times 3$) ₹ 11,25,000 and balance ₹ 3,75,000 ($3,75,000 \times 1$) shall be transferred to Profit & Loss Account as an expense.

Case 3:

Actual production is 7,50,000 units. Fixed overheads is not going to change with the change in output and will remain constant at ₹ 15,00,000, therefore, overheads on actual basis is ₹ 2 ($15,00,000/ 7,50,000$).

Hence by valuing inventory at ₹ 3 each for fixed overheads purpose, we will be adding the element of cost to inventory which actually has not been incurred. At ₹ 3 per unit, total fixed overhead comes to ₹ 22,50,000 whereas, actual fixed overhead expense is only ₹ 15,00,000. Therefore, it is advisable to include fixed overhead on actual basis ($7,50,000 \times 2$) ₹ 15,00,000.



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A business plans for production overheads of ₹ 10,00,000 per annum.

The normal level of production is 1,00,000 units per annum.

Due to supply difficulties the business was only able to make 75,000 units in the current year. Other costs per unit were ₹ 126.

Calculate the per unit cost and amount of overheads to be expensed during the year.

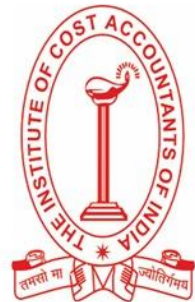
Solution

Calculation of cost per unit:	₹
Other costs	126
Production overhead (10,00,000/1,00,000 units)	<u>10</u>
Unit cost	<u>136</u>

Overhead to be expensed:	₹
Total production overhead	10,00,000
The amount absorbed into inventory is (75,000 x 10)	<u>(7,50,000)</u>
The amount not absorbed into inventory	<u>2,50,000</u>

₹ 2,50,000 that has not been included in inventory is expensed during the year i.e. recognized in the statement of profit and loss.

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Joint Products



Cost Allocation for Joint Products

According to **CAS 19**

Joint Costs: Joint costs are the cost of common resources used to produce two or more products or services simultaneously.

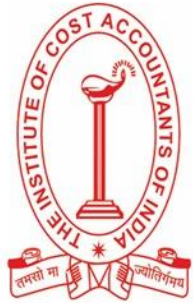
Joint Products : Products or services that are produced simultaneously, by the same process, identifiable at the end of the process and recognized as main products or services having sufficient value.

IAS 2 — Joint Products

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By-Products



Measurement of By-Products, Scrap & Waste

According to **CAS 19**

By-Product: Product with relatively low value produced incidentally in the manufacturing of the product or service.

Where by-products, scrap or waste materials are immaterial, they shall be measured at net realisable value and this value shall be deducted from the cost of the main product.

IAS 2 — By-Products

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In a manufacturing process of Mars Ltd, one by-product BP emerges besides two main products MP1 and MP2 apart from scrap. Details of cost of production process are here under:

Item	Unit	Amount	Output	Closing Stock 31.3.20X1
Raw material	14,500	1,50,000	MP1 - 5,000 units	250
Wages	-	90,000	MP2 - 4,000 units	100
Fixed overhead	-	65,000	BP- 2,000 units	
Variable overhead	-	50,000		

Average market price of MP1 and MP2 is ₹ 60 per unit and ₹ 50 per unit respectively, by-product is sold @ ₹ 20 per unit. There is a profit of ₹ 5,000 on sale of by-product after incurring separate processing charges of ₹ 8,000 and packing charges of ₹ 2,000, ₹ 5,000 was realised from sale of scrap.

Calculate the value of closing stock of MP1 and MP2 as on 31.3.20X1.



Solution

As per Ind AS 2 'Inventories', most by-products as well as scrap or waste materials, by their nature, are immaterial. They are often measured at net realisable value and this value is deducted from the cost of the main product.

1) Calculation of NRV of By-product BP

Selling price of by-product	2,000 units x 20 per unit	40,000
Less: Separate processing charges of by- product BP		(8,000)
Packing charges		<u>(2,000)</u>
Net realisable value of by-product BP		<u>30,000</u>

2) Calculation of cost of conversion for allocation between joint products MP1 and MP2

Raw material		1,50,000
Wages		90,000
Fixed overhead		65,000
Variable overhead		50,000
Less: NRV of by-product BP (See calculation 1)	30,000	
Sale value of scrap	<u>5,000</u>	<u>(35,000)</u>
Joint cost to be allocated between MP1 and MP2		<u>3,20,000</u>



3) Determination of "basis for allocation" and allocation of joint cost to MP1 and MP2



	<u>MP 1</u>	<u>MP 2</u>
Output in units (a)	5,000	4,000
Sales price per unit (b)	60	50
Sales value (a x b)	3,00,000	2,00,000
Ratio of allocation	3	2
Joint cost of ₹ 3,20,000 allocated in the ratio of 3:2 (c)	1,92,000	1,28,000
Cost per unit [c/a]	38.4	32

4) Determination of value of closing stock of MP1 and MP2

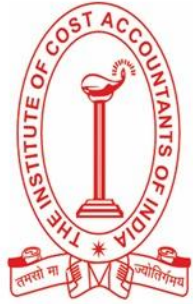
Particulars	MP 1	MP 2
Closing stock in units	250 units	100 units
Cost per unit	38.4	32
Value of closing stock	9,600	3,200

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Other Costs

- 1 Other costs shall be included in the cost of inventories only to the extent that they are incurred in bringing the inventories to their present location and condition.
- 2 Interest and other borrowing costs shall not be included in the costs of inventories, unless they meet the criteria for recognition of interest as a component of the cost as specified in the Income Computation and Disclosure Standard on borrowing costs.



A dealer has purchased 1,000 cars costing ₹ 2,80,000 each on deferred payment basis as ₹ 25,000 per month per car to be paid in 12 equal instalments.

At year end 31 March 20X1, twenty cars are in stock. Compute the cost of inventory, finance cost and cost of goods sold.

Solution

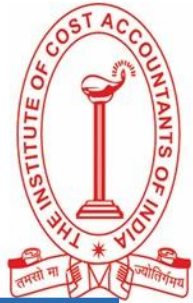
	₹
Deferred payment price (25,000 x 12)	3,00,000
Less: Cash price	<u>2,80,000</u>
Interest expense	<u>20,000</u>

		₹
Cost of inventory	20 cars x 2,80,000	56,00,000
Finance cost	1,000 cars x 20,000	2,00,00,000
Cost of goods sold	980 cars x 2,80,000	27,44,00,000

Behind every successful business decision, there is always a CMA



Practical Example



Closing Inventory at cost of a company amounted to Rs. 9,56,700. The following items were included at cost in the total:

(a) Shirts – 350 units

350 Shirts, which had cost Rs.380 each and normally sold for Rs. 750 each. Owing to a defect in manufacture, they were all sold after the Balance Sheet date at 50% of their normal price. Selling expenses amounted to 5% of the proceeds.

(b) Trousers – 700 units

700 Trousers, which had cost Rs. 520 each. These too were found to be defective. Selling Expenses for the batch totaled Rs. 3800. They were sold for Rs. 950 each.

Required: Calculate the Inventory Value considering the above items.



Solution

(a) Valuation of Shirts

(i) Value of Stock at Cost	Rs. 380×350	Rs. 1,33,000
(ii) NRV of Shirts	Rs. $750 \times 50\% \times 350$ less 5%	Rs. (1,24,688)
(iii) Write-down required	(i) – (ii)	Rs. 8,312

(b) Valuation of Trousers

- Cost of Trousers as given = Rs 520×700
Trousers = Rs. 3,64,000
- Net Realizable Value of Trousers=

Estimated Sale Price per unit	Rs. 950.00
Less: Selling Expenses per unit (Rs. $3,800 \div 700$)	Rs. (5.43)
Net Realizable Value per Unit	Rs. 944.57

Cost: Rs. 520×700 = Rs. 3,64,000

NRV: Rs. 944.57×700 = Rs. 6,61,199

- Value=** Lower of (i) Cost Rs. 520 & (ii) NRV Rs 944.57. Therefore, Rs.520 per unit or Rs. 3,64,000 should be the Carrying Amount of this Inventory. Since, Inventory is already carried at cost, no further adjustment is required.

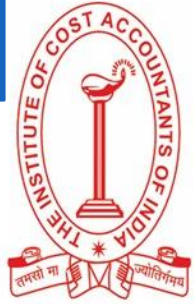


c) Valuation of Inventory

Value of Inventory as given	9,56,700
Less: Write down of Value of Shirts	(8,312)
Revised Inventory Value	9,48,388



Costs of Services



Cost of service shall consist of labour and other cost of personnel directly engaged in providing the service including supervisory personal and attributable overheads



Labour Cost



Personnel Cost



Supervisory Cost



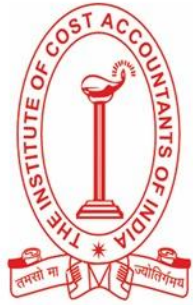
Overheads

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Cost of Conversion Comparison

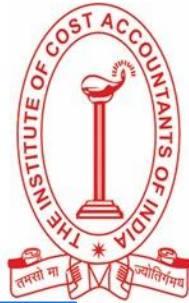
Standard	AS – 2 IndAS - 2
Actual Level of Production	The actual level of production may be used, if it approximates normal capacity



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Exclusions from the Cost of Inventories



In determining the cost of inventories, the following costs shall be excluded and recognised as expenses of the period in which they are incurred, namely:-

(a)

Abnormal amounts of wasted materials, labour, or other production costs;

(b)

Storage costs, unless those costs are necessary in the production process prior to a further production stage;

(c)

Administrative overheads that do not contribute to bringing the inventories to their present location and condition;

(d)

Selling costs.

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Direct Material cost ₹ 100 per kg

Direct labour cost ₹ 20 per kg

Direct variable production overhead ₹ 10 per kg

Fixed production charges for the year on normal capacity of one lakh kgs. is ₹ 10 lakhs. 2000 kgs. of finished goods are on stock at the year-end.

Value the inventory.

SOLUTION:

The costs of conversion include systematic allocation of fixed and variable production overheads that are incurred in converting materials into finished goods. The allocation of fixed production overheads for their purpose of their inclusion in the cost of conversion is based on normal capacity of the production facilities. Thus cost per kg is computed as follows:

	₹	₹
Material cost	100	
Direct labour cost	20	
Direct variable production overhead	10	
Fixed production overhead (₹ 1000000/100000)	10	40
Total		140
Value of finished goods (2000 × ₹ 140)		₹ 280000





Can G Ltd. a wire netting company, while valuing its finished goods at the year-end include interest on bank overdraft as an element of cost, for the reason that overdraft has been taken specifically for the purpose of financing current assets like inventory and for meeting day to day working expenses?

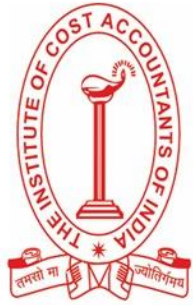
SOLUTION

The cost of inventories comprise of all costs of purchase, cost of comparison and other costs incurred in bringing the inventories to their present location and condition. Interest and other borrowing costs are usually considered as overheads that don't contribute to bringing the inventories to their present location and condition.

Therefore, the proposal of G Ltd. to include interest on bank overdraft as an element of cost is not tenable. Interest of bank overdraft will not form part of cost of production.

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The Cost of inventories of items

- - (i) *that are not ordinarily interchangeable; and*
 - (ii) *goods or services produced and segregated for specific projects*
- shall be assigned by specific identification of their individual costs.
- ‘Specific identification of cost’** means specific costs are attributed to identified items of inventory.
- Where there are a large numbers of items of inventory which are ordinarily interchangeable, specific identification of costs shall not be made.



Cost Formula — AS-2 vs Ind AS-2

AS - 2

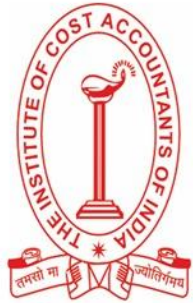
It is not expressly mandated to use the same cost formula consistently for all inventories that have a similar nature and use to the entity. The formula used should reflect the fairest possible approximation to the cost incurred in bringing the items of inventory to their present location and condition.

- Techniques such as standard cost or retail method may be used for convenience, if the results approximate the actual cost.

Ind AS - 2

Requires an entity to use the same cost formula for all inventories having a similar nature and use to the entity.

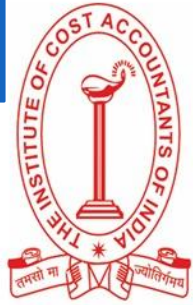
- For inventories with a different nature or use, different cost formulas may be justified.



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First-in First-out and Weighted Average Cost Formula



Cost of inventories, other than the inventory dealt under specific identification, shall be assigned by using the First-in First-out (FIFO), or weighted average cost formula. The formula used shall reflect the fairest possible approximation to the cost incurred in bringing the items of inventory to their present location and condition:

(a) FIFO

The FIFO formula assumes that the items of inventory which were purchased or produced first are consumed or sold first, and consequently the items remaining in inventory at the end of the period are those most recently purchased or produced.

(b) Weighted Average

Under the weighted average cost formula, the cost of each item is determined from the weighted average of the cost of similar items at the beginning of a period and the cost of similar items purchased or produced during the period. The average shall be calculated on a periodic basis, or as each additional shipment is received, depending upon the circumstance.



FIFO

Example

Date	Units purchased	Units sold	Balance
April 01	1000 units @ Rs.2		1000 units
April 12	3000 units @ Rs. 2.2		4000 units
April 17		2000 units	2000 units
April 30	1000 units @ 2.4		3000 units



Cost of Inventory under FIFO method will be:

Date	Units	Cost per unit	Total cost
April 12	2000	Rs. 2.20	4,400
April 30	1000	Rs. 2.40	2,400
Total	3000		6,800

Cost of Inventory = 6,800

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WEIGHTED AVERAGE



Date	Units purchased	Units sold	Balance
April 01	1000 units @ Rs.2		1000 units
April 12	3000 units @ Rs. 2.2		4000 units
April 17		2000 units	2000 units
April 30	1000 units @ 2.4		3000 units

Cost of Inventory under Weighted Average Cost method will be:

Date	Units	Weighted Avg cost per unit	Total cost
April 30	3000	#Rs. 2.23	6,700
Total	3000		6,700

Cost of Inventory = 6,700

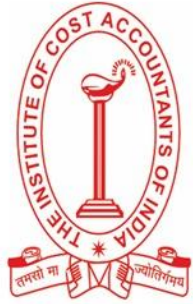
$$\# \frac{2000 * 2.15 + 1000 * 2.4}{3000} = \text{Rs. } 2.23$$

$$\frac{1000 * 2 + 3000 * 2.2}{4000} = \text{Rs. } 2.15$$

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Techniques for the Measurement of Cost



Techniques for measurement of cost of inventories — such as the standard cost method or the retail method — may be used for convenience if the results approximate actual cost.

Standard Costs

Take into account normal levels of consumption of materials and supplies, labour, efficiency and capacity utilisation.

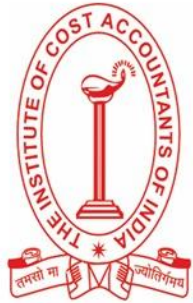
Regular Review

Standard costs are regularly reviewed and, if necessary, revised in light of current conditions.

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Retail Method



When to Use

Where it is impracticable to use FIFO or Weighted Average, the retail method can be used in retail trade for measuring inventories of large numbers of rapidly changing items with similar margins.

How It Works

Cost of inventory is determined by reducing from the sales value the appropriate percentage gross margin. The percentage takes into consideration inventory marked down below its original selling price.

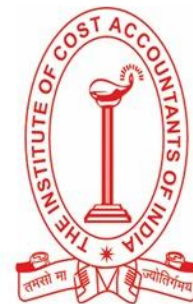
Formula

$$\text{Cost of Inventory} = \text{Sales Value} - (\text{Sales Value} \times \text{Gross Margin \%})$$

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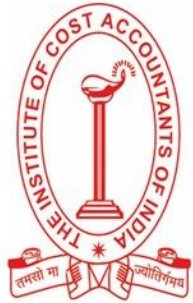
Retail Method — AS-2 vs Ind AS-2



Standard	Approach Permitted
AS - 2	Adjusting sale value by appropriate percentage gross margin is the general approach permitted.
Ind AS - 2	An average percentage for each retail department is often used to determine the appropriate gross margin.

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Trousers LTD. Is a dealer of clothes and has thousands of items in its inventories. It applies the retail method. The average gross margin is 20%. The sale price of the trousers of a carton of 20 trousers is Rs.10,000.00

Accordingly each carton will be valued at Rs. 8,000.00($\text{Rs.10,000} - \text{Rs.10,000} \times 20\%$) and each

Trousers would cost $\text{Rs. } 8,000 / 20 = \text{Rs. } 400.00$



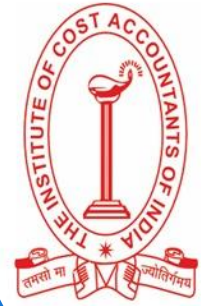
Net Realisable Value

Inventories shall be written down to net realisable value on an item-by-item basis.

§

Where 'items of inventory' relating to the same product line having similar purposes or end uses and are produced and marketed in the same geographical area and cannot be practicably evaluated separately from other items in that product line, such inventories shall be grouped together and written down to net realisable value on an aggregate basis.

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Most Reliable Evidence

Net realisable value shall be based on the most reliable evidence available at the time of valuation.



Purpose of Inventory

The estimates of net realisable value shall also take into consideration the purpose for which the inventory is held.



Post Year-End Events

The estimates shall take into consideration fluctuations of price or cost directly relating to events occurring after the end of previous year to the extent that such events confirm the conditions existing on the last day of the previous year.





Rule: No Write-Down Below Cost

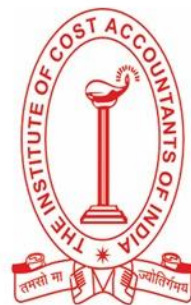
Materials and other supplies held for use in the production of inventories shall not be written down below the cost, where the finished products in which they shall be incorporated are expected to be sold at or above the cost.



Exception: Price Decline

Where there has been a decline in the price of materials and it is estimated that the cost of finished products will exceed the net realisable value, the value of materials shall be written down to net realisable value which shall be the replacement cost of such materials.





At the end of its financial year, Company P has 100 units of inventory on hand recorded at a carrying amount of ₹ 10 per unit. The current market price is ₹ 8 per unit at which these units can be sold. Company P has a firm sales contract with Company Q to sell 60 units at ₹ 11 per unit, which cannot be settled net. Estimated incremental selling cost is ₹ 1 per unit.

Compute Net Realisable Value (NRV) of the inventory of Company P.

Solution

While performing NRV test, the NRV of 60 units that will be sold to Company Q is ₹ 10 per unit (i.e. 11-1).

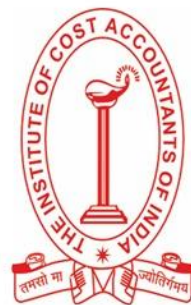
NRV of the remaining 40 units is ₹ 7 per unit (i.e. 8-1).

Therefore, Company P will write down those remaining 40 units by ₹ 120 (i.e. 40 x 3).

Total cost of inventory would be

Goods to be sold to Company Q	60 units x ₹ 10 +	₹ 600
Remaining goods	40 unit x ₹ 7	<u>₹ 280</u>
		<u>₹ 880</u>





A business has four items of inventory. A count of the inventory has established that the amounts of inventory currently held, at cost, are as follows:

	Cost	Estimated Sales price	₹ Selling costs
Inventory item A1	8,000	7,800	500
Inventory item A2	14,000	18,000	200
Inventory item B1	16,000	17,000	200
Inventory item C1	6,000	7,500	150

Calculate the value of closing inventory in the financial statements of a business.

Solution

The value of closing inventory in the financial statements:

Item of inventory	Cost	NRV (Estimated Sales price- Selling costs)	Measurement base (lower of cost or NRV)	Value
A1	8,000	(7,800 – 500) 7,300	NRV	7,300
A2	14,000	(18,000 – 200) 17,800	Cost	14,000
B1	16,000	(17,000 – 200) 16,800	Cost	16,000
C1	6,000	(7,500 – 150) 7,350	Cost	<u>6,000</u>
Value of Inventory				<u>43,300</u>

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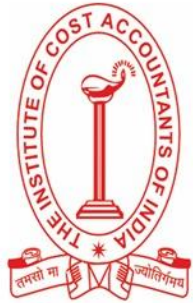


VALUE OF OPENING INVENTORY

The value of the inventory as on the beginning of the previous year shall be:

(i) the cost of inventory available, if any, on the day of the commencement of the business when the ***business has commenced during the previous year; and***

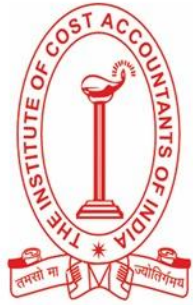
(ii) the value of the inventory as on the close of the immediately preceeding previous year in any other case.



CHANGE OF METHOD OF VALUATION OF INVENTORY

The method of valuation of inventories once adopted by a person in any previous year shall not be changed without reasonable cause.

Note: 'Reasonable cause' is not defined. The guidance for the same will need to be taken from *judicial precedents*.



CHANGE OF METHOD — CASE LAW

Query: Is the change of method of valuation of inventory justified?

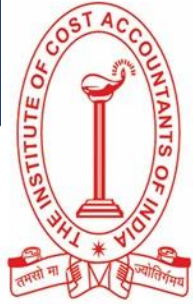
Snow White Food Products Co. Ltd. v. CIT [1982] 10 Taxman 37 (Cal.)

FACTS	Assessee had been following the mercantile system of accounting hitherto and had done so even in the relevant year except for the interest income and that there was no resolution by the board of directors or the shareholders of the assessee supporting the change, except for a statement in the annual report to the effect that the management had decided to account for interest on cash basis, from which it was not established that the assessee had decided to change its regular method.
HELD	The Tribunal held that it could not be said the assessee had decided to change its existing regular method. Hence, the assessee-company was not entitled to change its method of accounting from the mercantile to the cash system insofar as credits in the interest account were concerned and thus, the interest accrued during the relevant year but not received was liable to be included in that assessment year.
CONCLUSION	<i>The method of valuation of inventory shall not be changed without a reasonable cause and shall be followed consistently in subsequent year.</i>



CHANGE IN METHOD OF VALUATION

Change from one cost formula to another constitutes a change in an accounting policy.



AS - 2

Pursuant to AS 5, a change in method of valuation of inventories should be made only if it is required by statute or for compliance with an AS or if it is considered that the change would result in a more appropriate presentation of the financial statements of the enterprise.

Ind AS - 2

A change in an accounting policy can only be made if the change is required by an Ind AS, or results in the financial statements providing reliable and more relevant information.

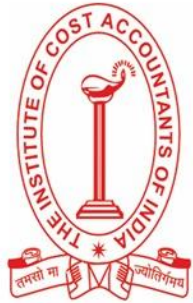
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VALUATION OF INVENTORY IN CASE OF CERTAIN DISSOLUTIONS

In case of dissolution of a partnership firm or association of person or body of individuals, notwithstanding whether business is discontinued or not, the inventory on the date of dissolution shall be valued at the net realisable value.

ICDS II now prescribes valuation of inventory at NRV in all cases where there is dissolution of a firm, AOP or BOI, irrespective of the fact whether on dissolution the business has been discontinued or not.



AS - 2

Because of going concern assumption, these situations are not dealt with in AS 2.

Ind AS - 2

Because of going concern assumption, these situations are not dealt with in Ind AS 2.

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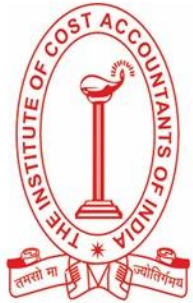
VALUATION OF UNLISTED SECURITIES — Section 277(1)(iii) ITA 2025

Applicable to:

- Securities not listed on a recognised stock exchange
- Listed securities not regularly quoted

Valuation Method:

- Valued at Actual Cost
- **As per ICDS provisions**



VALUATION OF OTHER SECURITIES — Section 277(1)(iv) ITA 2025

Applicable to:

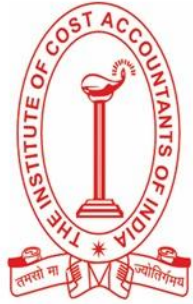
- Regularly traded listed securities

Valuation Method:

Lower of:

- Actual Cost, or
- Net Realisable Value (NRV)

As per ICDS



SPECIAL RULE FOR BANKS & FINANCIAL INSTITUTIONS — Section 277(2) ITA 2025

Applicable to:

- Scheduled Banks
- Public Financial Institutions

Valuation to be done:

- As per ICDS
- Considering RBI Guidelines

Importance:

- Ensures consistency with banking regulations



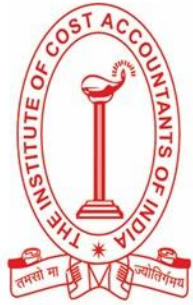
Behind every successful business decision, there is always a **CMA**



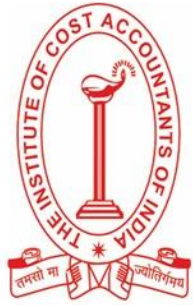
WORKS CONTRACT

Contract costs shall comprise of :

- a. costs that relate directly to the specific contract;
- b. costs that are attributable to contract activity in general and can be allocated to the contract;
- c. such other costs as are specifically chargeable to the customer under the terms of the contract; and
- d. allocated borrowing costs in accordance with the Income Computation and Disclosure Standard on Borrowing Costs.



Stage of Completion of a Contract



The stage of completion of a contract shall be determined with reference to :

- a. The proportion that contract costs incurred for work performed upto the reporting date bear to the estimated total contract costs; or
- b. Surveys of work performed; or
- c. Completion of a physical proportion of the contract work.

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Contract Costs — Stage of Completion



COSTS INCLUDED

Only those contract costs that reflect work actually performed up to the reporting date are included in measuring the stage of completion.



Costs must reflect actual work performed — not future activity.



COSTS EXCLUDED

A

Contract costs that relate to future activity on the contract

B

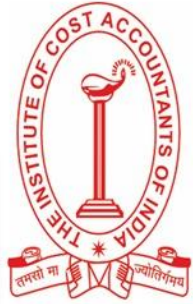
Payments made to subcontractors in advance of work performed under the subcontract

EARLY STAGE RULE

During the early stages of a contract, where the outcome of the contract cannot be estimated reliably, contract revenue is recognised only to the extent of costs incurred.



Early stage shall NOT exceed 25% of stage of completion.

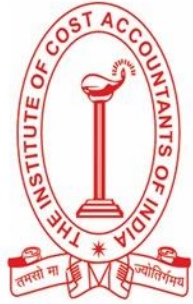


WORK IN PROGRESS VALUATION

TOTAL COST TILL DATE

LESS

COST RECOGNISED AS REVENUE

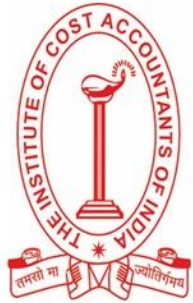


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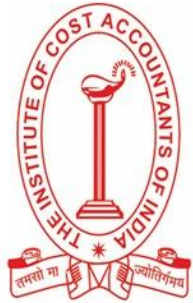


SHARES AND FINANCIAL INSTRUMENTS

- A security on acquisition shall be recognised at actual cost.
- The actual cost of a security shall comprise of its purchase price and include acquisition charges such as brokerage, fees, tax, duty or cess.
- Where a security is acquired in exchange for other securities, the fair value of the security so acquired shall be its actual cost.
- Where a security is acquired in exchange for another asset, the fair value of the security so acquired shall be its actual cost.
- Where unpaid interest has accrued before the acquisition of an interest-bearing security and is included in the price paid for the security, the subsequent receipt of interest is allocated between pre-acquisition and post-acquisition periods; the pre-acquisition portion of the interest is deducted from the actual cost.



Valuation of Securities — Stock-in-Trade



At the end of any previous year, securities held as stock-in-trade shall be valued at actual cost initially recognised or net realisable value at the end of that previous year, whichever is lower.

For the purpose of para 9, the comparison of actual cost initially recognised and net realisable value shall be done categorywise and not for each individual security. For this purpose, securities shall be classified into the following categories, namely:—

Shares

Convertible Securities

Debt Securities

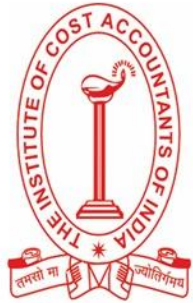
Any others.



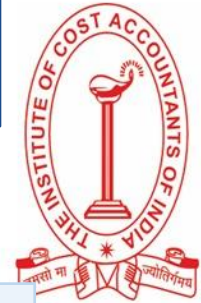
Opening Value

The value of securities held as stock-in-trade of a business as on the beginning of the previous year shall be:

- A. The cost of securities available, if any, on the day of the commencement of the business when the business has commenced during the previous year; and
- B. The value of the securities of the business as on the close of the immediately preceding previous year, in any other case.



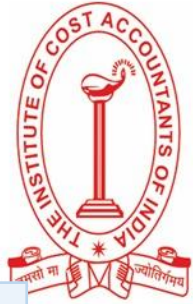
AGRICULTURAL PRODUCE, LIVESTOCK ETC.



- Producers inventories of livestock, agriculture and forest products, minerals oils, ores and gases to the extent they are measured at net realizable value ('NRV')



MACHINE SPARES

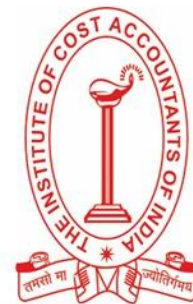


- Stand-by equipment and servicing equipment are to be capitalised.
- Machinery spares shall be charged to the revenue as and when consumed.
- When such spares can be used only in connection with an item of tangible fixed asset and their use is expected to be irregular, they shall be capitalised.



ICDS IX: Borrowing Costs

Definition



BORROWING COSTS — DEFINITION

“Borrowing costs” are interest and other costs incurred by a person in connection with the borrowing of funds and include:

- (i) commitment charges on borrowings;
- (ii) amortised amount of discounts or premiums relating to borrowings;
- (iii) amortised amount of ancillary costs incurred in connection with the arrangement of borrowings;
- (iv) finance charges in respect of assets acquired under finance leases or under other similar arrangements.

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ICDS IX: QUALIFYING ASSET

Definition

"Qualifying asset" means:

(i)

TANGIBLE ASSETS

land, building, machinery, plant or furniture, being tangible assets;

(ii)

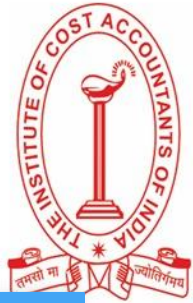
INTANGIBLE ASSETS

know-how, patents, copyrights, trade marks, licences, franchises or any other business or commercial rights of similar nature, being intangible assets;

(iii)

INVENTORIES

inventories that require a period of twelve months or more to bring them to a saleable condition.



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ICDS IX: RECOGNITION

1

CAPITALISE

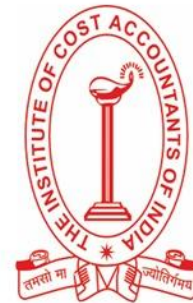
Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset shall be capitalised as part of the cost of that asset.

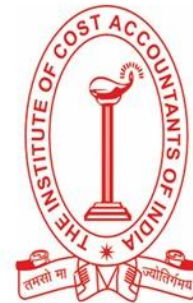


2

OTHER COSTS

Other borrowing costs shall be recognised in accordance with the provisions of the Act.





Audit and Inventory Valuation

Rules 171 & 172

Income-Tax Rules, 2026



Form No. 100 & 101



Panel: CAs & Cost Accountants



Fee: ₹3,750 – ₹7,500 / hr



Time Limit: 6 Months

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Provision	Purpose	Prescribed Form
Rule 171(1)	Report of audit under Section 268(5)(i)	Form No. 100
Rule 171(2)	Report of inventory valuation under Section 268(5)(ii)	Form No. 101

Form No. 100 — Prescribed for audit reports under Section 268(5)(i) of ITA 2025

Form No. 101 — Prescribed for inventory valuation reports under Section 268(5)(ii) of ITA 2025



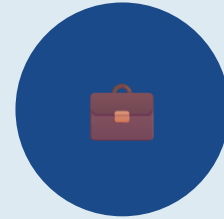
Panel Maintained by Chief Commissioner (Rule 172(1) ITR 2026)



Accountants

Chartered Accountants

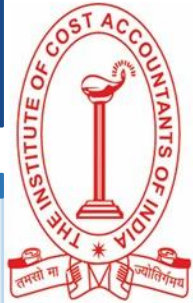
Ref: Section 515(3)(b)



Cost Accountants

Cost & Management Accountants

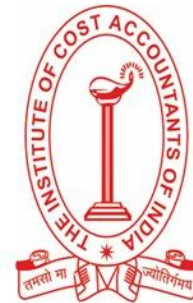
Ref: Section 268(13)



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Expenses for Audit or Inventory Valuation (Rule 172(2) ITR 2026)



Minimum Fee

₹ 3,750

per hour

Maximum Fee

₹ 7,500

per hour

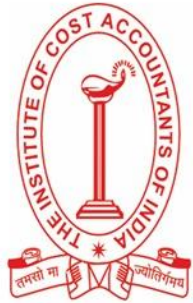
Applicable for: Audit or Inventory Valuation directed by Assessing Officer

Includes: Remuneration of accountant / cost accountant and their assistants

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Time Period for Assignment (Rule 172(3) ITR 2026)



The Assessing Officer shall specify:

01

Number of hours required for the assignment

02

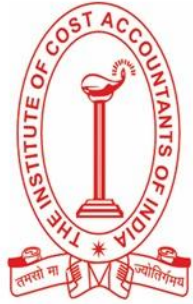
Time needed for completing the report

Objective: To ensure reasonable and controlled billing.

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Maintenance of Time-Sheet (Rule 172(4) ITR 2026)



The accountant or cost accountant must:



Maintain a detailed time-sheet for the assignment



Submit the time-sheet along with the bill

Submitted To:

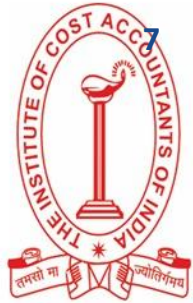
Chief Commissioner of Income-tax

Commissioner of Income-tax

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Verification of Billing (Rule 172(5) ITR 2026)



The Chief Commissioner or Commissioner shall ensure:

Verification Area	Purpose
Number of hours claimed	Reasonableness of billing
Quality of report	Justification of fees
Size and complexity of assignment	Fair compensation

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Time Limit for Submission of Report (Sec 268(10) ITA 2025)

ITA 1961

[Section 142(2C)]

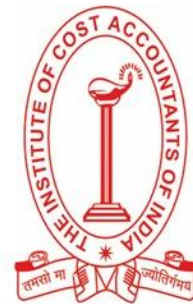
Report submitted within a maximum period of 180 days from the date on which the direction to do such valuation was received by the assessee.

ITA 2025

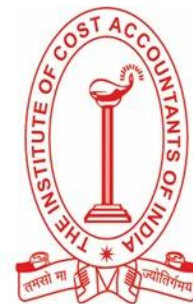
[Section 268(10)]

Report now required to be furnished within 6 months from the end of the month in which such direction is received by the assessee.

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Inventory Valuation & Form 26 (Section 277 Connection)



Form 26 Clause	Requirement	Relevance to Inventory Valuation
Clause 16(a)	Method of valuation of inventory	Auditor reports valuation method for finished goods and raw materials
Clause 16(b)	Deviation from Section 277	Disclosure of adjustments required due to non-compliance
Clause 17	ICDS Adjustments	Reporting impact of ICDS II (Inventories) and ICDS VIII (Securities)
Clause 18	ICDS Disclosures	Mandatory disclosures relating to inventory valuation standards
Clause 53	Quantitative Details	Reporting opening stock, purchases, sales, closing stock, shortage/excess



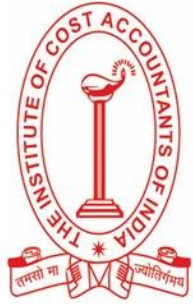
Behind every successful business decision, there is always a **CMA**

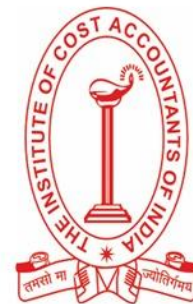
FAQs on New Form 101

(Old Form 6D)

Refer to the updated Form 101 (replacing old Form 6D) for inventory valuation reporting under Section 268(5)(ii) of ITA 2025.

Behind every successful business decision, there is always a **CMA**



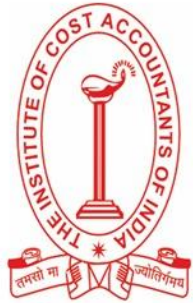


Q What is Form 101?

Form 101 is an Inventory Valuation Report furnished by a Cost Accountant as directed by the Assessing Officer (with prior approval of the Principal Chief Commissioner / Chief Commissioner / Principal Commissioner / Commissioner of Income-tax) under **Section 268(5)(ii) of ITA 2025**.

It ensures accurate valuation of inventories for tax computation and verification, in line with the Act and the Income Computation and Disclosure Standards (ICDS).





Q Who is required to file Form 101?

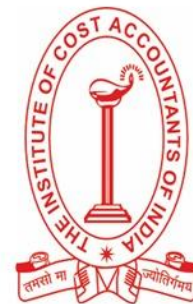
Every assessee whose inventory valuation is directed by the AO under **Section 268(5)(ii)**.

The valuation must be conducted and certified by a
Cost Accountant nominated by the competent authority.

The Cost Accountant must provide a
true and fair statement of inventory valuation after examining the assessee's books, records, and documents.



FAQs on New Form 101 (Old Form 6D)



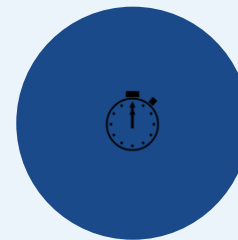
Q

When should Form 101 be filed?



Non-Recurring

Filed only for the tax year in which the Assessing Officer issues a direction for inventory valuation.



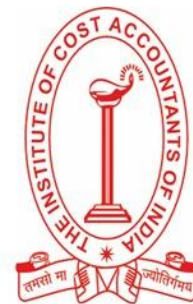
Time Limit

Report must be submitted within the time specified by the AO, or the extended period — which cannot exceed 6 months from the end of the month the direction was received.

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FAQs on New Form 101 – Structure (Part A)



Q What is the structure of Form 101?

Part 1 – Certification by Cost Accountant

- Examination of books of account and documents
- Valuation of opening and closing inventories
- Compliance with Income-tax provisions
- Observations and comments of the Cost Accountant

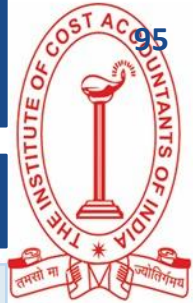
Annexure Part A – Personal Information

- Name, PAN and address of assessee
- Contact particulars
- Tax year details
- Other assessee identification details

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FAQs on New Form 101 – Structure (Part B)



Annexure Part B – Inventory Valuation Report

	Nature of business, products, and inventory management system
	Methods of accounting and valuation employed; any changes thereto
	Item-wise valuation: Finished Goods, WIP, Raw Materials, By-products, Stock-in-trade, and other categories
	Comparison of values as per audited accounts vs. Cost Accountant's valuation
	Disclosures on insurance claims, discrepancies, ICDS compliance, and effect on profit and tax computation
	Specialised schedules: Construction Contracts, Securities (stock-in-trade), livestock, agricultural / forest produce, mineral oils, ores, and gases

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FAQs on New Form 101 (Old Form 6D)



Q What documents are required to file Form 101?



Books of account and relevant records relating to purchase, consumption, and sale of inventory items



Financial statements and stock registers



Details of cost sheets, valuation workings, and inventory management system data

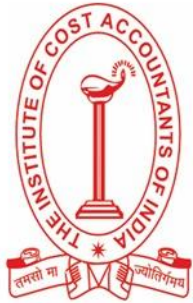


Supporting evidence such as insurance valuation, price lists, or physical verification reports

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FAQs on New Form 101 (Old Form 6D)



Q

What is the outcome of filing Form 101?



For the Assessee

- Ensures compliance with AO's direction under Section 268(5)(ii)
- Provides validated inventory valuation that may impact income computation and tax liability



For the Department

- Enables independent verification of inventory valuation by qualified professionals
- Ensures uniform reporting format for comparison with financial statements and ICDS requirements
- Facilitates fair and transparent assessment proceedings

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FAQs on New Form 101 (Old Form 6D)



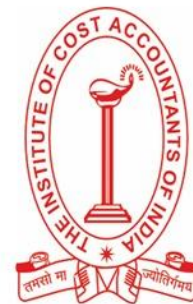
Q What are the key changes proposed in the revised Form 101?

- 1** System-friendly design with e-filing support — Name, Address and PAN separated into distinct fields
- 2** Assessment / Financial / Previous year(s) replaced with 'Tax year or years' throughout the Form/Annexure
- 3** Sections, Clauses and Schedules updated as per the Income-tax Act, 2025
- 4** Currency symbol Rs. replaced with the Rupee symbol (₹)

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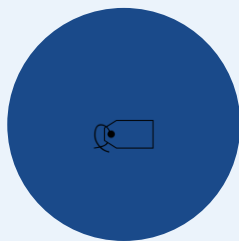
FAQs on New Form 101 (Old Form 6D)



Q What challenges have been addressed in the revision of Form 101?

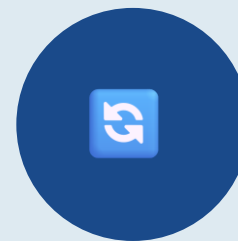
Background

Earlier **Form 6D** was introduced in **September 2023**. The same has been revived with necessary changes.



Label Changes

Field labels updated to align with current taxonomy and reporting standards



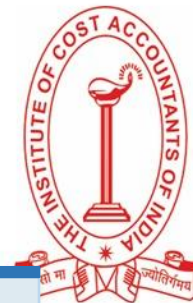
Section References Updated

Sections and sub-sections of the Old Act replaced with corresponding references under ITA 2025

Behind every successful business decision, there is always a **CMA**



FAQs on New Form 101 (Old Form 6D)



Q What is the process flow for filing Form 101?

01



AO Direction

Assessing Officer directs the assessee to get inventory valued by a Cost Accountant under Section 268(5)(ii)

02



Examination & Valuation

Cost Accountant conducts examination and prepares the valuation report based on records and site visits (if necessary)

03



Submission

Detailed Inventory Valuation Report and Annexures are prepared, verified, and submitted before the AO

Behind every successful business decision, there is always a **CMA**



FAQs on New Form 101 (Old Form 6D)



Q What is the outcome of filing Form 101?



For the Assessee

- Ensures compliance with the direction issued under Section 268(5)(ii)
- Provides validated inventory valuation that may impact income computation and tax liability

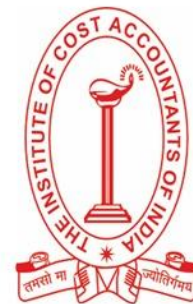


For the Department

- Facilitates uniform and independent verification of inventory valuation by qualified professionals
 - Provides a standardized format for cross-verification with audited financial statements and ICDS compliance
- Assessing Officer uses the report findings for verification and assessment proceedings

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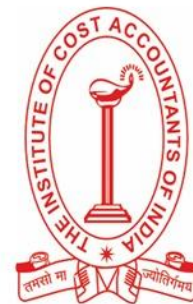
Form 101

Instructions & Notes for Filing

Income Tax Department — Cost Audit Report

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1. Name of individual or entity

The first, middle and last name shall be provided in full without any abbreviations. In any other case also, name shall be provided in full.

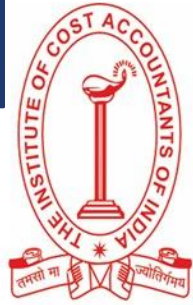
2. Address details

The address shall contain: (i) Country/Region, (ii) Flat/Door/Block number, (iii) Road/Street/Block/Sector, (iv) PIN/ZIP Code, (v) Post Office, (vi) Area/Locality, (vii) District, (viii) State.

3. HSN / SAC codes

In case available, details of HSN codes and SAC code for services should be provided for principal products/services.

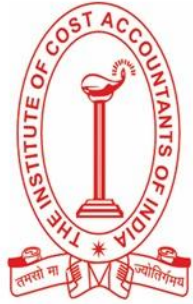




4. Part B, Row No. 4 — Raw Materials Inventory

- (i) Inventory of all raw materials constituting the top 80% of total inventory value should be reported item-wise separately. The balance may be clubbed under `Others`.
- (ii) Add number of rows depending on the number of raw materials.
- (iii) Other adjustments include Shortage / Wastages / Rejects, etc.

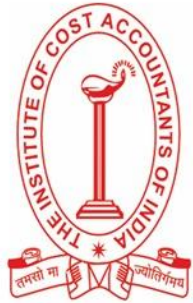




5. Part B, Row No. 5 — Manufactured / Traded Goods

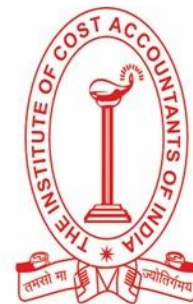
- (i) Add number of rows depending on the number of items.
- (ii) Separate quantitative details should be given in respect of by-products, if any.
- (iii) Where the assessee is trading in goods, quantitative details should be given in respect of the goods traded in.
- (iv) Inventory of manufactured / traded goods / work-in-progress items constituting the top 80% of total value should be reported item-wise separately. The balance may be clubbed under `Others`.





- 11. While filing details in Part B, Row No. 9(A)(vi), specify the method used to determine the stage of completion of contracts in progress.
- 12. While filing details in Part B, Row No. 9(B), please note the following:
 - (i) AC: Actual Cost
 - (ii) NRV: Net Realisable Value
 - (iii) Note: Add number of rows depending on the number of shares/securities
 - (iv) With respect to 9(B)(vi), specify the method used to determine the Actual Cost and Net Realisable Value for each category of financial instruments.





7. Row No. 8(b) — NRV of Work-in-Progress

NRV here means NRV of the relevant finished product less estimated completion cost.

8. Row No. 8(e) — Intermediate Products

Intermediate products include only such products which are at an intermediate stage and not included elsewhere.

9. Number of Projects

Add number of rows depending on the number of projects.

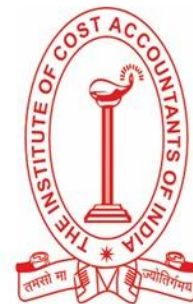
10. Part B, Row No. 9(A)(i) — Real Estate / Construction

(i) Type means BHK size / Affordable / Premium / Commercial etc., identifiable as a different sale unit.

(ii) Completed Units mean Plots / Flats / Commercial Units / Villas / Floors which are ready for sale and included in inventory.

(iii) Valuation of Land (shown separately in Inventory Valuation in financials) and Development Rights can be shown here, if required.





11. Part B, Row No. 9(A)(vi) — Stage of Completion

Specify the method used to determine the stage of completion of contracts in progress.

12. Part B, Row No. 9(B) — Financial Instruments / Securities

(i) AC: Actual Cost

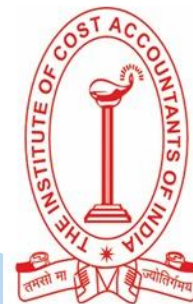
(ii) NRV: Net Realisable Value

(iii) Add number of rows depending on the number of shares/securities.

(iv) With respect to 9(B)(vi), specify the method used to determine the Actual Cost and Net Realisable Value for each category of financial instruments.



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Consequence of Non-Compliance of Direction

Penalty

Penalty u/s 465 of ₹10,000 for each default, leviable by AO/CIT.

Best Judgement Assessment

Assessment of best judgement u/s 271.

Search & Seizure

Issue order u/s 247 for search & seizure.

Prosecution

Prosecution u/s 481 — rigorous imprisonment up to 1 year or fine.



Thank You

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